



MARTEN PIETERS

VODAFONE

Circles Won 9 (Delhi, Mumbai, Kolkata, Chennai, Maharashtra, Haryana and West Bengal)

Circles Lost B and C circles like West Bengal, Punjab, Rajasthan and Uttar Pradesh.

To Pay **Rs 11,617 crore**

The nine circles contribute 68 per cent of Vodafone's revenue base.



RATAN TATA

TATA TELESERVICES

Circles Won 9 (including 3A circles and 6B circles)

Circles Lost Delhi, Mumbai, Chennai, Kolkata, Assam and Bihar, among others.

To Pay **Rs 5,864.29 crore**

The nine circles contribute 43 per cent of the company's revenue base.



SANDIP DAS

AIRCEL

Circles Won 13 (including Chennai and Tamil Nadu, Andhra, Kolkata, Karnataka)

Circles Lost Delhi, Mumbai, Gujarat, Maharashtra, Haryana, Madhya Pradesh, UP West and Himachal Pradesh.

To Pay **Rs 6,499.46 crore**

The 13 circles contribute 91 per cent of Aircel's revenue base.

billion in EBITDA (Earnings before Income Tax, Depreciation and Amortisation) per annum currently. The industry needs an increase of 20-30 per cent in revenues and 30-40 per cent EBITDA from 3G launches to justify the investment. In absolute terms, 3G needs to generate an incremental EBITDA of \$2.1 billion for the industry three years from now or incremental revenues of \$5-7 billion.

In addition to the medium-term strain on the balance sheet of all the companies, 3G payout will also have a multi-year earnings dilution impact. Bharti's earnings per share will be diluted to the tune of 14 per cent, 13 per cent and 11 per cent FY2011E, FY12E, and FY13E. The figures for Reliance and Idea are 30 per cent, 26 and 22 per cent, and 122, 83 and 59 per cent. Basically, don't expect the telecom stocks to perform any miracles in the short to medium term.

The 3G story in Europe holds a cautionary tale for Indian operators. In 2000, the bidding for 3G spectrum auctions went through the roof in many parts of Europe. While the UK raised \$35.4 billion, the German auction raised \$46.1 billion. In the German auction, companies bid not for the licence itself, but for 12 different spectrum blocks. Bidders must win two blocks to qualify for a licence, while

three guarantees having a network which would cover the entire country. Like India, the German Government said it would use the money to reduce its budget deficit. In the US, the 3G auction had led to a secondary reselling and business failures as a direct result of "bidding inflation". Even in Europe, where operators spent a whopping £68 billion investment in 3G technology, they expressed concern that it could well be a disaster and not live up to the hype. With operators failing to come up with killer applications, 3G resulted in much bloodshed.

However, the European Commission had said that it would be tough to not allow operators to overcharge for services, despite the astronomic prices paid for licences. The two auctions had a chilling effect on the wireless

industry as companies racked up big debts to pay for these multi-billion-dollar deals and saw their share prices fall. This had a cascading effect on the other European 3G auctions as companies were worried about the unmanageable debt levels and rapidly sinking market valuations.

Poland, for instance, had to cancel auction after it failed to round up a minimum of five candidates for its Universal Mobile Telephone System (UMTS) licences, and gave only three licences to the three of its leading wireless operators. In Switzerland, the auction only raised \$120 million among four operators against an expected \$4-5 billion, which the Government was planning to collect. However, given the poor response from bidders, it had to postpone the auction. In Italy, the five bidders paid \$2.2 billion each, the minimum opening bid. The Dutch and Austrian auctions were both considered flops, raising only \$2.37 billion and \$737 million respectively. Moreover, when the French auction took place in 2001, companies like BT, Deutsche Telekom and Hutchison Whampoa gave it a miss after spending heavily in Germany and the UK. It's needless to say that given the experience of 3G the world over, it's too soon to comment on the India experience.

with Nandini Vaish

As Costly as It GETS

Five most expensive spectrum auctions

Country	Year	Amount*
Germany	2000	46.1
Britain	2000	35.4
USA	2008	19
India	2010	14.6
Italy	2000	10.18

* in billion dollars